economy. In the forty-year period from 1978 to 2018, China recorded an average GDP growth rate of 9.5 per cent per annum.

China followed the export- and investment-led economic growth strategy of the East Asian and South-East Asian countries. For example, Chinese exports rose from US$13.66 billion in 1978 to US$2.49 trillion in 2018. Exports as a proportion of Chinese GDP increased from less than 5 per cent in 1978 to 35 per cent in 2007 before declining to about 20 per cent currently. China's investment rate since 1978 has remained at a consistently high level of around 40 per cent, peaking at 48 per cent in 2011. It is currently around 39 per cent. Foreign Direct Investment (FDI) has played an important role in China's accelerated growth. It received US$47 billion in 2001, and this rose to US$108 billion in 2008. According to one estimate, in 2016 the total stock of FDI in China was a remarkable US$1.35 trillion, making it the largest recipient of FDI in the world. FDI flows brought not only capital to China but also advanced technologies and modern management methods. China is today the world's largest trading power, accounting for nearly 12 per cent of global trade. Its GDP was marginally ahead of India's in 1978, US$293.6 billion, against India's US$293 billion. In 2020, China's nominal GDP was $15.5 trillion, constituting 17 per cent of the global GDP. India's GDP in 2020 has been estimated at $2.66 trillion. The large extent of the economic asymmetry between the two countries is reflected in the fact that China's total exports in a year exceed India's GDP.

Though China's growth trajectory has generally followed the East Asian and South-East Asian pattern, it has nevertheless recorded a higher growth rate and for a longer period than the latter. A former president of the Development Bank of China, Chen Yuan explained the reasons for this at an informal meeting with foreign economists and diplomats in Beijing in 2018. He said that in the reform period since 1978, China had registered an average annual GDP growth rate about 2 per cent more than East Asian economies had in their high-growth phase, and China's high-growth phase had lasted for about ten years longer. He said China had three key advantages;

One, it was able to mobilize a large amount of domestic investible capital